



Parshwanath Capital Ventures Fund

SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108

Fund Manager: CA Deep Dalal | Sponsor: Jignesh Shah

Royal Chain Limited

Mainboard · DRHP · filed 2026-10-01 · lead manager(s): JM Financial; 360 ONE WAM · issue size Rs 1,000.00 cr · price band: Not announced

Call: Screen only

Revenue doubled and PAT rose 6.3x over FY24-FY26 with cash tax fully paid, but operating cash flow was negative each year as inventory grew; at the Rs 147.33 pre-IPO reference the P/E (15.6x) is in line with peers.

Scenario (Rs/share)	DCF	Relative	Blended	Upside vs reference
Bear	40.49	173.90	93.85	-36.3%
Neutral	69.45	173.90	111.23	-24.5%
Bull	130.39	173.90	147.79	0.3%

Key observations

- Revenue CAGR 41.9% and PAT CAGR 151.7% (FY24-FY26); cash tax 26.9% of PBT
- Operating cash flow negative each year; cumulative CFO/PAT -87.5%
- Volume sold +1.7% while revenue per kg +97.9%: growth price-led
- Top-10 customers 22.32% of revenue; top-5 suppliers 56.98% of COGS
- Post-issue P/E ~15.6x at reference vs peer median 15.72x
- Related party Aalishaan: 5.06% of FY26 sales; subsidiary from Apr-26

Royal Chain Limited: DRHP screen

Basis. Draft Red Herring Prospectus dated 28-Sep-2026, filed with SEBI on 01-Oct-2026. Restated standalone financials run to 31-Mar-2026 and are **187 days old** at the date of this note. **No price band has been announced.** Figures are from the DRHP (printed page numbers) in ₹ million unless stated.

Upside is measured against **₹147.33**, the December 2025 pre-IPO placement price adjusted for the 5:1 bonus. It is a reference point, not a price band. Exit route assumed: 2–3 year hold.

A DRHP is a screen, not a decision. The RHP must carry financials no more than six months old and should therefore include H1 FY27.

Verdict: Screen only. The evidence is mixed.

Strengths: fast and well-documented growth.

- Revenue grew at a 41.9% CAGR over FY24–FY26, from ₹23,505.82 m to ₹47,324.50 m.
- PAT grew at a 151.7% CAGR, from ₹273.62 m to ₹1,733.42 m.

- Tax was paid in cash at 26.9% of cumulative PBT.
- The company supplies listed organised jewellers.
- At the ₹147.33 reference, post-issue P/E on FY26 PAT is about **15.6x, in line with the 15.72x peer median.**

Concerns: growth has not yet turned into cash.

- Operating cash flow was negative in each year: –₹115.67 m, –₹30.49 m and –₹2,165.17 m.
- Inventory nearly doubled in FY26.
- Volume sold was broadly flat across the three years.
- The FY26 margin rise coincided with a rising gold price.

On a cash basis (DCF) value is below the reference; on an earnings basis (peer multiples) it is above it. **H1 FY27 operating cash flow and margin in the RHP will show which reading holds.**

Snapshot

	FY24	FY25	FY26
Revenue from operations	23,505.82	36,171.77	47,324.50
EBITDA (issuer KPI)	636.16	1,305.34	2,882.29
EBITDA margin	2.71%	3.61%	6.09%
PAT	273.62	633.31	1,733.42
RoNW (issuer, on average net worth)	25.52%	41.50%	53.34%
Cash flow from operations	–115.67	–30.49	–2,165.17
Inventory (year end)	2,641.43	3,568.32	6,958.87
Borrowings + gold on lease	3,018.26	3,677.50	6,344.67
Volume sold, incl. bullion (kg)	4,397.22	5,539.88	4,473.67
Installed capacity (kg)	7,000	9,750	12,000

Sources: pp. 64–66, 111, 190.

Business model

- **What it sells:** a business-to-business (B2B) original design manufacturer of gold chains and plain gold jewellery in 14, 18 and 22 karat, with over 27,000 designs. In-house brands include Rico, SAR and Anamitra (pp. 189, 107).
- **Who buys it:** in FY26, 1,887 customers.
 - Dealers and wholesalers: 89.55% of revenue.
 - Institutional and corporate clients, including Titan, Kalyan, Senco, P N Gadgil and Thangamayil: 6.83%.
 - Export: 3.79% (p. 107).
 - The dealer network covers 24 states (p. 189).
- **How it earns:** a manufacturing and design margin on gold. FY26 gross margin was 7.84% of revenue (p. 111). Revenue largely passes the gold price through, so reported revenue moves with bullion prices as well as volume. Gold is funded by working-capital debt and, from FY26, gold on lease (₹742.28 m) (p. 64).
- **What it owns:** a single integrated plant at Mahape, Navi Mumbai (88,980 sq ft) with 12,000 kg capacity, covering refining, chain-making, casting, CNC/laser work and polishing. It employs 723 permanent staff and

30 designers (p. 191). In FY25, purchases of stock-in-trade (₹19,129.94 m) exceeded materials consumed (₹16,081.27 m), so part of revenue is traded rather than manufactured (p. 65).

- **Subsidiary:** Aalishaan Jewels LLP (plain gold jewellery) became a subsidiary with a 99% profit share from 01-Apr-2026 (p. 190). It was a related party, and the company's largest customer, in FY26 (p. 32).

Industry analysis

Source: a report by The Knowledge Company LLP, **commissioned and paid for by the issuer** for this offer (p. 189). Treat its market estimates accordingly.

- **Market size:** the Indian jewellery market is put at ₹7,778.4 bn in FY26, projected to reach ₹15,479.7 bn by FY31 (14.8% CAGR). Organised B2B jewellery manufacturing is put at ₹1,390.6 bn, projected at an 18.5% CAGR to ₹3,252.7 bn (p. 190).
- **Structure:** fragmented. About 65% of the organised B2B market is held by medium and small players, and the top two hold about 16.5%. Royal Chain's share is about 3.4% (pp. 190–191). The organised share of B2B manufacturing is expected to rise from 23.9% to 28.7% by FY31 (p. 190).
- **Listed peers named in the DRHP:** Sky Gold & Diamonds, Shringar House of Mangalsutra and Shanti Gold International (p. 110).
- **Unnamed competitors:** other chain manufacturers, retailers' own manufacturing, and the large unorganised sector.
- **Cyclicality and regulation:** demand and reported revenue track gold prices, wedding and festival seasons, and import-duty and hallmarking rules.

Moat

Source	Evidence	Durability
Scale and capacity	Among the top five organised B2B makers by capacity; 12,000 kg (pp. 189, 191)	Moderate. Capacity is replicable, and FY26 output used about 33% of it
Process know-how	Hollow and super-light chain capability; imported Italian chain machinery (pp. 189, 191)	Moderate. The technology can be bought; execution is the edge
Customer relationships	Supplies seven named organised retailers; 7 of FY24's top-10 customers were still top-10 in FY26 (p. 107)	Moderate. B2B suppliers can be switched, but qualification takes time
Design library	Over 27,000 designs, 30 designers (pp. 107, 191)	Low to moderate
Brand	In-house brands (Rico, SAR, Anamitra), but sales are mostly B2B	Low. The end consumer buys the retailer's brand

Overall the DRHP evidence supports a **narrow, execution-based moat**: scale, process and relationships. It does not show pricing power, and margins depend substantially on gold-price movements.

Revenue and profit growth drivers

- **Revenue: price and mix, not volume.** Volume sold rose 1.7% from FY24 to FY26 (4,397.22 → 4,473.67 kg). Revenue per kg rose 97.9%, from ₹5.35 m to ₹10.58 m (pp. 65, 190). The DRHP does not split this between the gold price, purity mix and traded bullion.
- **Manufactured mix:** chain output went from 3,413.02 kg to 2,563.08 kg, and ornaments from 1,077.79 kg to 1,441.73 kg (FY24 → FY26, p. 190). The shift is towards non-chain jewellery, supported by Aalishaan from FY27.

- **Profit:** the operating margin expansion came from **gross margin**, which rose from 4.62% to 7.84%. Other costs stayed roughly constant as a share of revenue: employee costs were 0.53% → 0.43% and other expenses 1.38% → 1.32% (pp. 65, 111). The DRHP does not quantify how much of the gross-margin gain came from holding inventory while gold prices rose. Finance costs fell from 1.07% to 0.80% of revenue even as debt rose.
- **Forward drivers named by the company:**
 - the shift of retail to organised formats;
 - the Aalishaan consolidation;
 - debt reduction from the issue (₹6,500 m), which lowers finance cost;
 - spare capacity.

SWOT

Strengths	Weaknesses
Revenue CAGR 41.9%, PAT CAGR 151.7% FY24–26 (p. 65)	Operating cash flow negative in all three years; cumulative CFO/PAT –87.5% (p. 66)
Cash tax 26.9% of PBT; profits taxed in cash (p. 65)	Volume flat (+1.7%) over the period; growth price-led (p. 190)
Diversified demand: top-10 customers 22.32% of revenue (p. 32)	Inventory ₹6,958.87 m, up 95% in FY26 (p. 64)
Supplies leading organised retailers (p. 107)	Top-5 suppliers 56.98% of COGS (p. 30)
Contingent liabilities only 4.3% of net worth (p. 67)	Auditor change in 2025 for lack of peer-review credentials (p. 73)

Opportunities	Threats
Organised B2B segment projected at 18.5% CAGR (issuer-commissioned report, p. 190)	A fall in gold prices would reverse inventory gains and compress margins
About 67% spare capacity at FY26 volumes (p. 111)	Working-capital debt repayable on demand; borrowings ₹8,204.18 m at 31-Aug-26 (p. 96)
Broader jewellery range through Aalishaan (p. 190)	Related-party dealings: Aalishaan, Royal Italian Jewellery (pp. 68–70)
Lower interest cost after repaying ₹6,500 m (p. 95)	Competition and customer bargaining power in B2B supply

The offer and objects

- **Size:** ₹10,000 m in total. Fresh issue ₹8,500 m; offer for sale ₹1,500 m by four promoter sellers (p. 61).
- **Eligibility:** Regulation 6(1). QIB portion no more than 50%, non-institutional at least 15%, retail at least 35%.
- **Anchor portion:** up to 60% of the QIB portion, of which 33.33% is reserved for mutual funds and 6.67% for insurers and pension funds (p. 61). About ₹1,800 m of anchor allocation is open to other investors. Allocation is discretionary, and anchor shares are locked in, 50% for 30 days and 50% for 90 days.
- **Objects:** ₹6,500 m repays or prepays borrowings in FY27, including a ₹895.55 m Axis Bank working-capital loan. The balance goes to general corporate purposes (capped at 25%) and offer expenses (pp. 95–99). There is no capex object.
- **Shares and holders:** 125,344,092 shares before the issue, after a 5:1 bonus on 08-Sep-2026. Promoters hold 93.19% (pp. 78, 82).

- **Pre-IPO placement:** 1,221,720 shares at ₹884 (₹147.33 after the bonus) to LMJF Capital Advisors LLP on 02-Dec-2025 (p. 79).

Financials: positives and concerns side by side

Area	Positive	Concern
Growth	Revenue ×2.0, PAT ×6.3 over FY24–26	Volume +1.7%; realisation-led
Profitability	EBITDA margin 2.71% → 6.09%; RoNW 53.34%	FY26 margin not shown to be repeatable at flat gold prices
Cash	Cash tax paid at 26.9%	CFO –₹2,165.17 m in FY26; working capital absorbed ₹4,558.20 m
Balance sheet	Debt/equity 2.50 → 1.36 (KPI, p. 111); ₹1,080 m equity raised in FY26	Borrowings up to ₹8,204.18 m by Aug-26
Governance	Independent directors and committees in place; KKC & Associates added as joint auditor	Related-party trading; auditor resignation in 2025

Forensic scorecard

#	Check	Result
1	Bonus restatement	Pass. EPS 14.39 and NAV 37.16 are on the post-bonus count
2	CFO vs PAT	Fail. CFO negative in all three years
3	Current vs deferred tax	Pass. Cash tax 26.9%
4	Related-party capex / subsidiaries	Watch. ₹466.20 m slump sale from Royal Italian Jewellery; Aalishaan
5	Objects price floor	Not applicable. Amount-based issue
7	Goodwill	Pass. Nil
8	Concentration	Watch. Customers diversified; top-5 suppliers 56.98%
9	Contingent liabilities	Pass. 4.3% of net worth
R1	Auditor	Watch. Change in 2025

Merchant bankers

JM Financial Limited

- **Status:** listed (NSE: JMFANCIL).
- **Ownership:** promoted by the Kampani family, with the promoter group holding about 57%: J M Financial & Investment Consultancy Services 24.77%, Nimesh Kampani 13.11%, J M Assets Management 11.36%, Aruna Kampani 2.82%, Vishal Kampani 1.36% (June 2026, secondary source).
- **Issues handled:** 13 IPOs in FY25 (₹255,434.10 m), 27 in FY26 (₹675,324.16 m) and 16 so far in FY27 (₹513,059.44 m) (p. 382).
- **Track record at 30 days:** in FY26, 15 issues traded at a premium and 12 at a discount. In FY25 it was 8 at a premium and 5 at a discount (p. 382).
- **Track record at 180 days:** in FY26, 15 were at a premium and 12 at a discount (p. 382).

360 ONE WAM Limited

- **Status:** listed (NSE: 360ONE).
- **Ownership:** founded by Karan Bhagat (Vice-Chairman & MD). The promoter group holds about 6.26% after two promoters were reclassified as public in 2025; the company is widely held (secondary source).
- **Issues handled:** 1 IPO in FY26 and 3 so far in FY27 (p. 383).

Recent issues handled. Listing data comes from the DRHP, pp. 381–383 (exchange-sourced). Revenue, PAT and latest price come from secondary web sources, are **unverified**, and are named in `data/merchant_bankers.json`.

Issuer (sector)	Lead manager	Issue price (₹)	Listed	Listing-day open vs issue	30 / 90 / 180 days*	Revenue FY24 → FY26 (₹ cr)	PAT FY24 → FY26 (₹ cr)	Latest price
National Stock Exchange of India Ltd (Stock exchange / market infrastructure)	JM Financial + 360 ONE WAM	1,785.00	2026-09-24	+0.84%	– / – / –	14,780.00 → 16,601.00 (+1,821.00; +12.32%)	8,406.00 → 10,302.00 (+1,896.00; +22.56%)	not retrieved
Hero Motors Ltd (Auto components / EV powertrain)	JM Financial	84.00	2026-09-23	-2.26%	– / – / –	1,064.39 → 1,188.35 (+123.96; +11.65%)	17.03 → 41.17 (+24.14; +141.75%)	not retrieved
Karamtara Engineering Ltd (Transmission towers & solar structures)	JM Financial	254.00	2026-09-17	+25.98%	– / – / –	2,425.15 → 4,311.98 (+1,886.83; +77.80%)	102.65 → 228.75 (+126.10; +122.84%)	not retrieved
Asset Reconstruction Company (India) Ltd (Asset reconstruction / financial services)	JM Financial	139.00	2026-09-17	+0.00%	– / – / –	570.14 → 753.04 (+182.90; +32.08%)	not retrieved	not retrieved
Lumino Industries Ltd (Power conductors & cables)	JM Financial	82.00	2026-09-03	+34.15%	– / – / –	1,407.30 → 2,041.10 (+633.80; +45.04%)	86.60 → 160.00 (+73.40; +84.76%)	not retrieved
Symbiotec Pharmed Ltd (Pharma APIs (steroids & hormones))	JM Financial	988.00	2026-09-01	-0.99%	– / – / –	716.25 → 869.15 (+152.90; +21.35%)	100.06 → 109.90 (+9.84; +9.83%)	not retrieved
Augmont Enterprises Ltd (Gold & silver refining / bullion)	JM Financial	788.00	2026-08-31	+21.95%	– / – / –	3,492.15 → 9,418.62 (+5,926.47; +169.71%)	75.97 → 348.30 (+272.33; +358.47%)	not retrieved
Tempsens Instruments (India) Ltd (Temperature sensors & instrumentation)	JM Financial	300.00	2026-08-28	+111.33%	+77.02% / – / –	274.81 → 444.88 (+170.07; +61.89%)	40.92 → 71.07 (+30.15; +73.68%)	₹531.55 on 2026-09-29 (+77.18% vs issue)
Gaja Alternative Asset Management Ltd (Alternative asset management)	JM Financial	160.00	2026-08-26	+15.62%	-8.79% / – / –	103.96 → 157.80 (+53.84; +51.79%)	44.74 → 81.96 (+37.22; +83.19%)	not retrieved

Issuer (sector)	Lead manager	Issue price (₹)	Listed	Listing-day open vs issue	30 / 90 / 180 days*	Revenue FY24 → FY26 (₹ cr)	PAT FY24 → FY26 (₹ cr)	Latest price
Horizon Industrial Parks Ltd (Industrial & warehousing parks)	JM Financial + 360 ONE WAM	60.00	2026-08-24	+0.42%	-12.07% / – / –	245.52 → 767.84 (+522.32; +212.74%)	-162.21 → -203.64 (loss widened by 41.43)	not retrieved
Dhoot Transmission Ltd (Auto wiring harnesses)	360 ONE WAM	871.00	2026-08-17	+37.77%	+78.63% / – / –	2,797.73 → 4,524.96 (+1,727.23; +61.74%)	298.75 → 396.84 (+98.09; +32.83%)	not retrieved
WeWork India Management Ltd (Flexible workspace)	360 ONE WAM	648.00	2025-10-10	+0.31%	-2.48% / -4.21% / -30.18%	1,733.50 → 2,440.18 (+706.68; +40.77%)	not retrieved	not retrieved

* % change in closing price over the issue price on the 30th, 90th and 180th calendar day. "–" means that day had not yet been reached when the DRHP was filed.

Read of the track record.

- Of the 12 issues, 9 opened above the issue price, 1 flat and 2 below; the largest opening gain was Tempsens at +111.33%.
- Where 30-day data exists, 2 of 5 issues were up (Tempsens, Dhoot) and 3 down (Gaja, Horizon, WeWork India).
- WeWork India is the only issue with 180-day data, at –30.18%.
- Most of these listings are less than two months old, so the record says little yet about medium-term outcomes.

Valuation

All values are ₹ per share on 18.30 crore post-issue diluted shares at the ₹147.33 reference.

Scenario	DCF	Relative	Blended 60:40	vs ₹147.33
Bear	40.49	173.90	93.85	–36.3%
Neutral	69.45	173.90	111.23	–24.5%
Bull	130.39	173.90	147.79	+0.3%

- **DCF.** WACC is 15.78%:
 - cost of equity 18.20% (risk-free 6.5% + 1.1 × 7.0% + 2% size premium + 2% company-specific);
 - pre-tax cost of debt 8.15%.

Terminal growth is 4.50%. The Neutral case assumes revenue growth easing from 18% to 9%, an EBITDA margin of 4.5% and NWC at 19% of revenue. Terminal value is 81.2% of EV. - **Relative.** Uses the DRHP's peer set (p. 110). The median P/E of 15.72x gives ₹148.83 and the median P/B of 3.92x gives ₹281.99, with a 10% discount applied. EV/EBITDA can't be computed because peer debt and EBITDA are not in the DRHP. - **Why DCF and relative differ by 60%.** Relative value prices reported FY26 earnings. The DCF prices cash after working capital, which absorbed about ₹0.42 of every incremental rupee of revenue in FY26. Which of the two

is closer to right depends on whether cash conversion improves. - **Reverse DCF.** FY26 free cash flow to the firm was ₹2,738.8 m, so the reference price cannot be expressed as a multiple of current cash flow; it relies on future cash generation. In steady state the price needs an EBIT margin of about 10.4%, against 5.6% in FY26. - **Sensitivity.** One point of EBITDA margin moves Neutral value by about ₹20.60 per share; one point of WACC moves it by ₹6–7.

What would change our view

Test each of these against the RHP:

1. Restated H1 FY27 operating cash flow is positive (supportive), or negative again (adverse).
2. Closing inventory days on revenue at 30-Sep-2026 compared with 53.7 at Mar-26 and about 36 at Mar-25.
3. H1 FY27 EBITDA margin, and disclosure of any gold-price holding gain or loss within it.
4. The price band, compared with the Neutral blended value (₹111) and the peer-median P/E (15.72x).
5. Like-for-like revenue growth excluding Aalishaan consolidation.

Risks

- Gold-price movements against an inventory of about 54 days of revenue.
- Working-capital facilities are repayable on demand.
- Promoter ownership is 93.19% before the issue.
- After listing, the 6-month lock-in on LMJF's 7.33 m shares (5.85% before the issue) expires.

Data gaps

Item	Severity	Where to source
Offer expenses and GCP amount (the model treats offer expenses as nil)	Medium	RHP
Top-1 supplier share; gold supply and lease agreements	Medium	RHP
Audit report qualifications, CARO remarks	Medium	DRHP restated financial information
Credit rating, covenants	Medium	DRHP pp. 47, 361
Merchant-banker issuers' PAT for ARCIL and WeWork India FY24; current prices for 11 of 12 issues	Low	Exchange filings
Promoter post-bonus WACA per seller; other-equity breakdown	Low	DRHP

Verification

- **Restated P&L reproduces:** expenses sum to ₹45,060.42 m, PBT is ₹2,324.04 m and PAT is ₹1,733.42 m.
- **EBITDA reproduces the issuer's KPI** for all three years.
- **NAV reproduces:** ₹4,657.51 m ÷ 125,344,092 shares = ₹37.16.
- **Peer P/E reproduces:** each peer's P/E equals its price divided by its EPS.
- **Revenue per kg** is computed from pp. 65 and 190.
- **Merchant-banker figures:** listing percentages are recomputed from the DRHP issue and opening prices. Issuer financials come from secondary sources and are unverified.
- **Workbooks:** the toolkit verification passed 44 of 44 checks.

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